



On 30th September 2022, Nifty 50 corrected by 7.34% from the top. If you see, the market sentiment was negative but for value investors and institutions, this was the place where the market was undervalued, they saw an opportunity and started accumulating.

The same thing is visible on the chart during the period of December 2022 to March 2023. Due to negative sentiments in the market and the collapse of a few major US banks, the market was making lower lows. Bears were dominating the market until the price came to the previous demand zone. See, a tenet of technical analysis says "History repeats itself and often rhymes". Lots of short-side trades were open at the 17000 level but the value investors and institutions kept on accumulating. Hence, the market again rallied from the 17000 level to touch new highs again.

